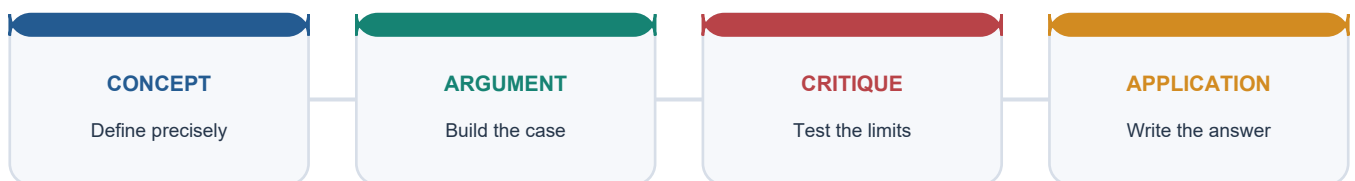


SOLVED PRACTICE WORKBOOK

Foreign Trade, WTO, FTAs and Protectionism - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Foreign Trade, WTO, FTAs and Protectionism - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Comparative advantage is determined primarily by:

A. Relative opportunity cost B. Absolute output alone C. The bilateral trade balance D. The level of the exchange-rate reserve

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because comparative advantage compares the opportunity cost of producing one good relative to another. Option text: Relative opportunity cost
- **B - Incorrect:** Absolute output identifies productivity scale, not the relative sacrifice that determines comparative advantage. Option text: Absolute output alone
- **C - Incorrect:** A trade balance is an outcome and does not define the production-cost basis of comparative advantage. Option text: The bilateral trade balance
- **D - Incorrect:** Reserve holdings affect resilience but do not determine the Ricardian opportunity-cost comparison. Option text: The level of the exchange-rate reserve

Examiner trap 1: Fix relative opportunity cost before comparing absolute productivity. Focus: comparative advantage is determined primarily by:.

MCQ 2

Which statement best captures gains from trade?

A. Every household gains immediately B. Aggregate gains can coexist with concentrated adjustment losses C. Only exporters can gain D. Imports reduce national welfare by definition

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Trade theory does not remove distributional conflict, mobility costs or transition lags. Option text: Every household gains immediately
- **B - Correct:** This is correct because lower prices and specialisation gains can occur alongside worker, firm and regional displacement. Option text: Aggregate gains can coexist with concentrated adjustment losses
- **C - Incorrect:** Consumers and imported-input users can gain even when they do not export directly. Option text: Only exporters can gain
- **D - Incorrect:** Imports can expand consumption possibilities and productive input access, so their value is not intrinsically a welfare loss. Option text: Imports reduce national welfare by definition

Examiner trap 2: Separate aggregate welfare from distribution and transition. Focus: which statement best captures gains from trade.

MCQ 3

An improvement in commodity terms of trade means:

A. Export volume necessarily rises B. The merchandise balance necessarily becomes positive C. Export prices rise relative to import prices D. The currency necessarily appreciates

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Terms of trade is a price ratio and does not mechanically determine export quantity. Option text: Export volume necessarily rises
- **B - Incorrect:** A price-ratio improvement can coexist with a deficit when quantities and values move differently. Option text: The merchandise balance necessarily becomes positive
- **C - Correct:** This is correct because the index is export-price index divided by import-price index, usually multiplied by 100. Option text: Export prices rise relative to import prices
- **D - Incorrect:** Exchange-rate movement can influence prices but is not the definition of terms of trade. Option text: The currency necessarily appreciates

Examiner trap 3: Do not substitute a quantity or balance concept for a price ratio. Focus: an improvement in commodity terms of trade means:.

MCQ 4

Trade diversion occurs when an FTA causes:

A. Higher-cost domestic output to be replaced by lower-cost partner imports B. Exports to rise in every member C. All external tariffs to become common D. A lower-cost non-member source to be replaced by a higher-cost partner

Answer: D.

Option-wise explanation:

- **A - Incorrect:** That is trade creation, because inefficient domestic production is displaced. Option text: Higher-cost domestic output to be replaced by lower-cost partner imports
- **B - Incorrect:** Export growth does not by itself identify the counterfactual sourcing effect. Option text: Exports to rise in every member
- **C - Incorrect:** A common external tariff defines a customs union, not trade diversion. Option text: All external tariffs to become common
- **D - Correct:** This is correct because preference, rather than productive efficiency, redirects sourcing toward the partner. Option text: A lower-cost non-member source to be replaced by a higher-cost partner

Examiner trap 4: Use the counterfactual source, not observed partner growth alone. Focus: trade diversion occurs when an fta causes:.

MCQ 5

An ad valorem tariff is levied as:

A. A percentage of customs value B. A fixed amount per kilogram C. A lower rate within a quota only D. A payment to a domestic producer

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because the tax base is value rather than physical quantity. Option text: A percentage of customs value
- **B - Incorrect:** A fixed amount per unit is a specific tariff. Option text: A fixed amount per kilogram
- **C - Incorrect:** That describes the in-quota limb of a tariff-rate quota. Option text: A lower rate within a quota only
- **D - Incorrect:** A producer payment is a subsidy, not a customs tariff. Option text: A payment to a domestic producer

Examiner trap 5: Identify the tax base before interpreting incidence. Focus: an ad valorem tariff is levied as:.

MCQ 6

Compared with a tariff, an import quota more directly fixes:

A. The government revenue collected B. The permitted import quantity C. The domestic price increase D. The bound tariff ceiling

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Quota rent may accrue to licence holders unless rights are auctioned. Option text: The government revenue collected
- **B - Correct:** This is correct because a quota establishes a volume ceiling while domestic price and rent adjust. Option text: The permitted import quantity
- **C - Incorrect:** The price response varies with demand, supply and market power. Option text: The domestic price increase
- **D - Incorrect:** Bindings are WTO schedule commitments, not quota quantities. Option text: The bound tariff ceiling

Examiner trap 6: Always ask who receives the quota rent. Focus: compared with a tariff, an import quota more directly fixes:.

MCQ 7

A tariff-rate quota means:

A. A complete ban after the quota is filled B. One tariff applied to all quantities C. Lower duty within a volume and higher duty beyond it D. A subsidy capped by export value

Answer: C.

Option-wise explanation:

- **A - Incorrect:** A TRQ is not an absolute quota; above-quota imports remain legally possible at the higher tariff. Option text: A complete ban after the quota is filled
- **B - Incorrect:** The defining feature is the two-tier rate around a specified quantity. Option text: One tariff applied to all quantities
- **C - Correct:** This is correct because imports can continue above the quota at the out-of-quota rate. Option text: Lower duty within a volume and higher duty beyond it
- **D - Incorrect:** A subsidy cap is unrelated to tariff-rate quota administration. Option text: A subsidy capped by export value

Examiner trap 7: Do not turn the quota volume into a prohibition. Focus: a tariff-rate quota means:.

MCQ 8

Which statement about subsidies is legally sound?

A. Every government programme is a prohibited subsidy B. Every export remission is prohibited C. Services subsidies are disciplined identically by the SCM Agreement D. WTO treatment depends on design, specificity, agreement and effects

Answer: D.

Option-wise explanation:

- **A - Incorrect:** General public services or non-specific measures need not satisfy the legal subsidy test. Option text: Every government programme is a prohibited subsidy
- **B - Incorrect:** Remission that does not exceed embedded taxes can differ from an export-contingent net subsidy. Option text: Every export remission is prohibited
- **C - Incorrect:** The SCM Agreement's core disciplines concern trade in goods. Option text: Services subsidies are disciplined identically by the SCM Agreement

- **D - Correct:** This is correct because financial contribution, benefit, specificity and applicable disciplines must be established. Option text: WTO treatment depends on design, specificity, agreement and effects

Examiner trap 8: Classify the measure before declaring WTO inconsistency. Focus: which statement about subsidies is legally sound.

MCQ 9

The SPS Agreement principally concerns:

A. Specified human, animal and plant health risks B. All product-quality preferences C. Only customs valuation D. Protection of domestic firms from import surges

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because SPS covers food safety and pest or disease risks within its defined scope. Option text: Specified human, animal and plant health risks
- **B - Incorrect:** General quality or labelling rules outside SPS are usually examined under TBT. Option text: All product-quality preferences
- **C - Incorrect:** Customs valuation determines the value base and is a separate WTO discipline. Option text: Only customs valuation
- **D - Incorrect:** Import-surge relief belongs to safeguards, not SPS. Option text: Protection of domestic firms from import surges

Examiner trap 9: Identify the protected risk before choosing SPS. Focus: the sps agreement principally concerns:.

MCQ 10

Which is primarily a TBT measure?

A. A plant-quarantine rule against an invasive pest B. A mandatory energy-efficiency labelling rule for appliances C. An anti-dumping duty after injury findings D. A tariff ceiling in a goods schedule

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Plant-health pest controls fall within SPS. Option text: A plant-quarantine rule against an invasive pest
- **B - Correct:** This is correct because it is a technical regulation and conformity issue outside the defined SPS risks. Option text: A mandatory energy-efficiency labelling rule for appliances
- **C - Incorrect:** That is a trade remedy under GATT Article VI and the Anti-Dumping Agreement. Option text: An anti-dumping duty after injury findings
- **D - Incorrect:** A bound tariff is a market-access commitment, not a technical regulation. Option text: A tariff ceiling in a goods schedule

Examiner trap 10: Separate technical regulation from food, animal and plant health risk. Focus: which is primarily a tbt measure.

MCQ 11

Anti-dumping duty requires proof of:

A. Only an increase in import volume B. A foreign government financial contribution only C. Dumping, material injury and causal link D. Any injury to one domestic firm

Answer: C.

Option-wise explanation:

- **A - Incorrect:** An import surge without unfair pricing is associated with safeguard analysis. Option text: Only an increase in import volume

- **B - Incorrect:** That is the starting point for a countervailing investigation. Option text: A foreign government financial contribution only
- **C - Correct:** This is correct because low export price alone does not complete the WTO legal test. Option text: Dumping, material injury and causal link
- **D - Incorrect:** The investigation concerns material injury to the relevant domestic industry and causation. Option text: Any injury to one domestic firm

Examiner trap 11: Low price is not automatically dumping. Focus: anti-dumping duty requires proof of:.

MCQ 12

A safeguard differs from anti-dumping because it:

A. Requires proof of a specific foreign subsidy B. Requires export price below normal value C. Is a permanent tariff increase D. Addresses serious injury from an import surge without an unfair-trade finding

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Specific subsidy and injury are countervailing-duty elements. Option text: Requires proof of a specific foreign subsidy
- **B - Incorrect:** That comparison belongs to anti-dumping. Option text: Requires export price below normal value
- **C - Incorrect:** Safeguards are temporary and adjustment-oriented under legal conditions. Option text: Is a permanent tariff increase
- **D - Correct:** This is correct because safeguards can respond to fairly traded increased imports. Option text: Addresses serious injury from an import surge without an unfair-trade finding

Examiner trap 12: Do not import dumping elements into safeguard analysis. Focus: a safeguard differs from anti-dumping because it:.

MCQ 13

Effective protection focuses on:

A. The change in domestic value added after output and input tariffs B. Only the final-good tariff rate C. Only customs revenue D. The export-price to import-price ratio

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because effective protection measures incentives on the value-added base. Option text: The change in domestic value added after output and input tariffs
- **B - Incorrect:** That is nominal protection and ignores taxes on tradable inputs. Option text: Only the final-good tariff rate
- **C - Incorrect:** Revenue does not measure the protected margin on domestic value added. Option text: Only customs revenue
- **D - Incorrect:** That ratio is the commodity terms of trade. Option text: The export-price to import-price ratio

Examiner trap 13: Use output and input protection on the value-added denominator. Focus: effective protection focuses on:.

MCQ 14

Tariff escalation can discourage developing-country processing because:

- A. Raw materials always face the highest tariff B. Tariffs rise with the degree of processing C. All stages face one uniform tariff D. It removes rules-of-origin requirements

Answer: B.

Option-wise explanation:

- **A - Incorrect:** That pattern would be de-escalation rather than escalation. Option text: Raw materials always face the highest tariff
- **B - Correct:** This is correct because finished products face higher barriers than raw materials, discouraging value addition in exporting countries. Option text: Tariffs rise with the degree of processing
- **C - Incorrect:** A uniform structure does not create the rising processing ladder. Option text: All stages face one uniform tariff
- **D - Incorrect:** Origin rules and tariff escalation are distinct instruments. Option text: It removes rules-of-origin requirements

Examiner trap 14: Map the tariff ladder across processing stages. Focus: tariff escalation can discourage developing-country processing because:.

MCQ 15

The WTO's top decision-making body is the:

- A. Secretariat B. Appellate Body C. Ministerial Conference D. Trade Policy Review Body alone

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The Secretariat supports members but does not replace member decision-making. Option text: Secretariat
- **B - Incorrect:** The Appellate Body reviews legal findings and is currently unable to hear appeals. Option text: Appellate Body
- **C - Correct:** This is correct because it can decide on all matters under multilateral agreements and normally meets at least biennially. Option text: Ministerial Conference
- **D - Incorrect:** The TPRB is the General Council meeting under a specific mandate. Option text: Trade Policy Review Body alone

Examiner trap 15: Do not transfer member powers to the Secretariat. Focus: the wto's top decision-making body is the:.

MCQ 16

WTO decisions are normally made by:

- A. Weighted voting by quota share B. A permanent executive board C. The Director-General's unilateral order D. Consensus among member governments

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Weighted voting characterises some financial institutions, not normal WTO decision-making. Option text: Weighted voting by quota share
- **B - Incorrect:** The WTO has no board that replaces the full membership for major decisions. Option text: A permanent executive board
- **C - Incorrect:** The Director-General facilitates but cannot legislate member obligations unilaterally. Option text: The Director-General's unilateral order

- **D - Correct:** This is correct because the WTO is member-driven and normally follows consensus, with voting legally available in specified cases. Option text: Consensus among member governments

Examiner trap 16: Consensus is not weighted voting. Focus: wto decisions are normally made by:.

MCQ 17

MFN treatment generally requires:

A. A trade advantage to one member to extend to like trade from all members B. Imported goods to avoid all border tariffs C. Foreign goods to receive better internal treatment than domestic goods D. Every FTA preference to be extended globally

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct subject to structured exceptions such as qualifying regional agreements. Option text: A trade advantage to one member to extend to like trade from all members
- **B - Incorrect:** MFN concerns partner equality, not a ban on tariffs. Option text: Imported goods to avoid all border tariffs
- **C - Incorrect:** National treatment requires no less favourable treatment, not superior treatment. Option text: Foreign goods to receive better internal treatment than domestic goods
- **D - Incorrect:** Qualifying FTAs are recognised exceptions to MFN. Option text: Every FTA preference to be extended globally

Examiner trap 17: MFN compares foreign partners; national treatment compares imported and domestic.

Focus: mfn treatment generally requires:.

MCQ 18

National treatment primarily operates:

A. Only before customs clearance B. After entry, against discriminatory internal treatment C. Only between two foreign partners D. Only for merchandise and never services or IP

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The rule focuses on internal taxes and regulation after market entry. Option text: Only before customs clearance
- **B - Correct:** This is correct because ordinary border tariffs are not by themselves national-treatment violations. Option text: After entry, against discriminatory internal treatment
- **C - Incorrect:** Partner-to-partner equality is the MFN question. Option text: Only between two foreign partners
- **D - Incorrect:** National-treatment provisions also appear in GATS and TRIPS with agreement-specific operation. Option text: Only for merchandise and never services or IP

Examiner trap 18: Fix the stage of treatment before applying the rule. Focus: national treatment primarily operates:.

MCQ 19

A bound tariff is:

A. The preferential rate in every FTA B. The customs rate collected on every shipment C. The negotiated maximum in a WTO schedule D. A minimum tariff that cannot be reduced

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Preferential rates arise under specific agreements and are distinct from the MFN binding. Option text: The preferential rate in every FTA

- **B - Incorrect:** The applied rate is the rate actually charged and may be below the binding. Option text: The customs rate collected on every shipment
- **C - Correct:** This is correct because it is a legal ceiling that may exceed the rate actually charged. Option text: The negotiated maximum in a WTO schedule
- **D - Incorrect:** Members may apply lower tariffs than their bound ceilings. Option text: A minimum tariff that cannot be reduced

Examiner trap 19: Ceiling, applied MFN rate and preference are three different numbers. Focus: a bound tariff is:.

MCQ 20

Special and differential treatment means:

A. A blanket exemption from WTO obligations B. Automatic veto power for one developing member C. Permanent tariff-free access in every market D. Agreement-specific flexibility or assistance for developing members

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Developing status does not erase all agreement disciplines. Option text: A blanket exemption from WTO obligations
- **B - Incorrect:** Consensus practice does not create a unilateral formal veto category. Option text: Automatic veto power for one developing member
- **C - Incorrect:** Preferences and duty-free schemes have separate legal designs and coverage. Option text: Permanent tariff-free access in every market
- **D - Correct:** This is correct because S&DT operates through particular provisions, transitions and support. Option text: Agreement-specific flexibility or assistance for developing members

Examiner trap 20: Always identify the particular S&DT provision. Focus: special and differential treatment means:.

MCQ 21

A foreign bank branch supplying services locally is mainly GATS:

A. Mode 3, commercial presence B. Mode 1, cross-border supply C. Mode 2, consumption abroad D. Mode 4, permanent migration

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because the service supplier operates through an establishment in the importing market. Option text: Mode 3, commercial presence
- **B - Incorrect:** Mode 1 supplies across the border without the supplier's commercial presence. Option text: Mode 1, cross-border supply
- **C - Incorrect:** Mode 2 involves the consumer moving abroad to receive the service. Option text: Mode 2, consumption abroad
- **D - Incorrect:** Mode 4 concerns temporary presence of natural persons, not permanent migration. Option text: Mode 4, permanent migration

Examiner trap 21: Name the movement of service, consumer, capital or person. Focus: a foreign bank branch supplying services locally is mainly gats:.

MCQ 22

TRIMS most directly disciplines:

A. Patent term and compulsory licensing B. Goods-related local-content and trade-balancing measures C. Temporary movement of service suppliers D. All foreign-investment screening decisions

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Those are TRIPS issues. Option text: Patent term and compulsory licensing
- **B - Correct:** This is correct because the illustrative list targets measures inconsistent with GATT Articles III and XI. Option text: Goods-related local-content and trade-balancing measures
- **C - Incorrect:** That is addressed under GATS Mode 4 commitments. Option text: Temporary movement of service suppliers
- **D - Incorrect:** TRIMS is not a comprehensive investment-protection code. Option text: All foreign-investment screening decisions

Examiner trap 22: TRIMS is goods-linked; TRIPS concerns intellectual property. Focus: trims most directly disciplines:.

MCQ 23

Which AoA box is exempt from reduction commitments when its criteria are met?

A. Amber Box in every case B. A general Red Box C. Green Box D. Blue Box without conditions

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Amber support is trade-distorting and subject to scheduled or de minimis limits. Option text: Amber Box in every case
- **B - Incorrect:** The Agreement on Agriculture has no general Red Box category. Option text: A general Red Box
- **C - Correct:** This is correct because qualifying minimally trade-distorting publicly funded measures are exempt without a financial ceiling. Option text: Green Box
- **D - Incorrect:** Blue Box treatment depends on production-limiting programme conditions. Option text: Blue Box without conditions

Examiner trap 23: Colour is a legal design category, not a moral label. Focus: which aoa box is exempt from reduction commitments when its criteria are met.

MCQ 24

For most developing members, the general AoA de minimis threshold is:

A. 5 percent in every case B. 10 percent of GDP C. 10 percent of government expenditure D. 10 percent of the relevant value of production

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Five percent is the general developed-country threshold. Option text: 5 percent in every case
- **B - Incorrect:** The denominator is relevant agricultural production value, not GDP. Option text: 10 percent of GDP
- **C - Incorrect:** The test is not based on total public spending. Option text: 10 percent of government expenditure
- **D - Correct:** This is correct for the general developing-country product-specific or non-product-specific test, subject to schedules. Option text: 10 percent of the relevant value of production

Examiner trap 24: State both numerator category and production-value denominator. Focus: for most developing members, the general aoa de minimis threshold is:.

MCQ 25

The Bali Peace Clause on public stockholding is:

A. Conditional interim protection pending a permanent solution B. A permanent Green Box reclassification C. An unconditional exemption for every food subsidy D. A rule completed at MC14

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because eligible programmes receive dispute protection subject to transparency and anti-distortion conditions. Option text: Conditional interim protection pending a permanent solution
- **B - Incorrect:** The Bali decision did not permanently place administered-price procurement in the Green Box. Option text: A permanent Green Box reclassification
- **C - Incorrect:** The protection has programme, notification and safeguard conditions. Option text: An unconditional exemption for every food subsidy
- **D - Incorrect:** WTO's post-MC14 note records no agriculture consensus in March 2026. Option text: A rule completed at MC14

Examiner trap 25: Do not convert interim litigation protection into a permanent substantive settlement. Focus: the bali peace clause on public stockholding is:.

MCQ 26

The WTO Fisheries Subsidies Agreement:

A. Prohibits every fisheries subsidy B. Entered into force on 15 September 2025 C. Ended negotiations on overcapacity rules D. Is only a voluntary declaration

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Its current prohibitions target specified harmful subsidies, not all support. Option text: Prohibits every fisheries subsidy
- **B - Correct:** This is correct; WTO records the two-thirds acceptance threshold on that date. Option text: Entered into force on 15 September 2025
- **C - Incorrect:** Additional disciplines on overcapacity and overfishing remain under negotiation. Option text: Ended negotiations on overcapacity rules
- **D - Incorrect:** After entry into force it is a binding WTO agreement for accepting members under its terms. Option text: Is only a voluntary declaration

Examiner trap 26: Separate current prohibitions from unfinished second-wave negotiations. Focus: the wto fisheries subsidies agreement:.

MCQ 27

After MC14, the WTO-wide e-commerce moratorium:

A. Was made permanent for all members B. Automatically became the 2024 plurilateral agreement C. Lapsed on 30 March 2026 after no consensus D. Continues unchanged until MC15

Answer: C.

Option-wise explanation:

- **A - Incorrect:** No universal permanent moratorium was agreed at MC14. Option text: Was made permanent for all members
- **B - Incorrect:** The E-Commerce Agreement and multilateral moratorium are separate tracks. Option text: Automatically became the 2024 plurilateral agreement
- **C - Correct:** This is correct according to the WTO post-MC14 briefing note. Option text: Lapsed on 30 March 2026 after no consensus

- **D - Incorrect:** The MC13 extension ended at MC14 or 31 March 2026, and no consensus renewed it. Option text: Continues unchanged until MC15

Examiner trap 27: Separate the multilateral lapse from later group commitments. Focus: after mc14, the wto-wide e-commerce moratorium:.

MCQ 28

A customs union differs from an FTA because it has:

- A. Rules of origin as its defining anti-deflection device B. No internal trade liberalisation C. Automatic free movement of labour D. A common external tariff

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Different external tariffs make origin rules especially central in an FTA. Option text: Rules of origin as its defining anti-deflection device
- **B - Incorrect:** Both arrangements seek preferential internal liberalisation within their legal coverage. Option text: No internal trade liberalisation
- **C - Incorrect:** Factor mobility defines a common market rather than every customs union. Option text: Automatic free movement of labour
- **D - Correct:** This is correct because members jointly apply an external tariff while liberalising internal trade. Option text: A common external tariff

Examiner trap 28: Look outward at the external tariff. Focus: a customs union differs from an fta because it has:.

MCQ 29

Rules of origin determine:

- A. Eligibility of a product for a tariff preference B. The applied MFN tariff for all countries C. Whether dumping has occurred D. The exchange rate used by customs

Answer: A.

Option-wise explanation:

- **A - Correct:** This is correct because origin criteria connect production history to preferential treatment. Option text: Eligibility of a product for a tariff preference
- **B - Incorrect:** MFN rates apply independently of preferential-origin qualification. Option text: The applied MFN tariff for all countries
- **C - Incorrect:** Dumping compares export price with normal value and injury. Option text: Whether dumping has occurred
- **D - Incorrect:** Currency conversion rules are distinct from origin. Option text: The exchange rate used by customs

Examiner trap 29: Shipment route is not the same as economic origin. Focus: rules of origin determine:.

MCQ 30

Which status pair is correct at the 9 September 2026 cutoff?

- A. India is an RCEP member; EU FTA is in force B. UK CETA in force; India-New Zealand FTA signed but awaiting procedures C. EFTA TEPA is unsigned; Oman CEPA is only under negotiation D. Australia ECTA is not operative; UAE CEPA begins in 2027

Answer: B.

Option-wise explanation:

- **A - Incorrect:** India did not join RCEP and this package assigns no EU entry-into-force date. Option text: India is an RCEP member; EU FTA is in force

- **B - Correct:** This is correct: UK CETA entered into force on 15 July 2026, while the New Zealand release says entry follows domestic procedures and ratification. Option text: UK CETA in force; India-New Zealand FTA signed but awaiting procedures
- **C - Incorrect:** EFTA TEPA entered into force on 1 October 2025 and Oman CEPA on 1 June 2026. Option text: EFTA TEPA is unsigned; Oman CEPA is only under negotiation
- **D - Incorrect:** Australia ECTA and UAE CEPA have operated since December and May 2022 respectively. Option text: Australia ECTA is not operative; UAE CEPA begins in 2027

Examiner trap 30: Concluded, signed and in force are not synonyms. Focus: which status pair is correct at the 9 september 2026 cutoff.

MCQ 31

In India, the usual trade-remedy sequence is:

A. DGFT investigation, RBI notification, WTO collection B. CBIC finding, DGTR collection, Finance Commission review C. DGTR investigation, government duty notification, CBIC administration D. WTO investigation followed by automatic Indian duty

Answer: C.

Option-wise explanation:

- **A - Incorrect:** These bodies do not perform that sequence. Option text: DGFT investigation, RBI notification, WTO collection
- **B - Incorrect:** CBIC administers customs but DGTR conducts the trade-remedy investigation. Option text: CBIC finding, DGTR collection, Finance Commission review
- **C - Correct:** This is correct because investigation, legal levy and border collection are institutionally distinct. Option text: DGTR investigation, government duty notification, CBIC administration
- **D - Incorrect:** WTO does not investigate individual Indian industry petitions or collect the duty. Option text: WTO investigation followed by automatic Indian duty

Examiner trap 31: Separate investigating authority from the authority issuing and collecting duty. Focus: in india, the usual trade-remedy sequence is:.

MCQ 32

RoDTEP is best described as:

A. A permanent export bonus unrelated to taxes B. An import quota administered by DGTR C. An FTA preferential tariff D. Remission of specified embedded taxes not otherwise refunded

Answer: D.

Option-wise explanation:

- **A - Incorrect:** That would misstate both incidence and WTO-oriented design. Option text: A permanent export bonus unrelated to taxes
- **B - Incorrect:** RoDTEP concerns export remission and is not a quantity restriction. Option text: An import quota administered by DGTR
- **C - Incorrect:** A partner preference arises under an agreement, whereas RoDTEP is a domestic remission scheme. Option text: An FTA preferential tariff
- **D - Correct:** This is correct because its design seeks tax neutrality for exported products. Option text: Remission of specified embedded taxes not otherwise refunded

Examiner trap 32: Remission is not the same as an export-performance subsidy. Focus: rodtep is best described as:.

PYQS AND ANSWER PRACTICE

PYQ SOURCE AND KEY CONTROL

The two Mains questions below reproduce the audited wording routed to this owner. Objective routes are listed only as demand summaries because a question/options/final-key chain was not independently reconstructed for this repair; no option letter is inferred.

VERIFIED MAINS PYQ - 2018 GS-III

Question: How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India? (15 marks, 250 words)

Model solution: Protectionism can reduce India's export demand, disrupt supply chains and raise imported-input costs through retaliation. Currency manipulation by major economies can redirect capital, alter competitiveness and increase exchange-rate volatility. The macroeconomic transmission runs through the trade balance, inflation, corporate margins, investment and external financing. India can also gain from trade diversion if firms are competitive and logistics and standards permit rapid market entry. A balanced response combines WTO engagement, diversified FTAs, lawful remedies, reserve and macroeconomic credibility, competitively priced inputs and worker adjustment. The qualification is decisive: not every currency movement is manipulation, and the effect of a tariff depends on coverage, retaliation, pass-through and India's position in the value chain.

VERIFIED MAINS PYQ - 2025 GS-III

Question: What are the challenges before the Indian economy when the world is moving away from free trade and multilateralism to protectionism and bilateralism? How can these challenges be met? (10 marks, 150 words)

Model solution: Protectionism narrows market access, raises standards and origin costs, fragments global value chains and weakens predictable WTO enforcement. Bilateralism can disadvantage countries outside preferred networks and multiply incompatible rules. India should preserve multilateral engagement while pursuing selective FTAs, diversified markets and resilient sourcing. Domestic policy must lower logistics and power costs, strengthen laboratories, skills and trade finance, and keep imported intermediates competitive. Strategic protection should be targeted, performance-linked and temporary. Adjustment support for workers and small firms is essential. Success should be measured through utilisation, domestic value addition, services access, exports, jobs and consumer effects rather than agreement counts alone.

OBJECTIVE PYQ ROUTES - ANSWER-KEY NEUTRAL

Year	Question	Audited demand	Key discipline
2018	10	Imported edible oils, domestic production and customs-duty policy	No option reconstructed or inferred
2018	26	Geographical Indications of Goods Act and treaty compliance	No option reconstructed or inferred
2019	37	India's position in global rice exports	No time-varying rank frozen
2019	84	Highest-value agricultural import	No time-varying answer frozen
2020	52	Merchandise and services trade distinction	No option reconstructed or inferred
2020	56	TRIMS and prohibited investment measures	No option reconstructed or inferred
2024	59	India and the International Grains Council	Official-key status acknowledged; no letter inferred here
2024	92	US apple imports and GM-food approval law	Statements remain independently tested

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish MFN treatment, national treatment and an FTA preference. Answer in 150 words.

Model answer:

MFN treatment requires an advantage granted to one WTO member to extend to like trade from all members, subject to agreement-specific exceptions.

National treatment compares imported and domestic products, services or intellectual property after market entry. An ordinary border tariff is therefore not itself a national-treatment violation; discriminatory internal taxation or regulation is the central concern.

An FTA preference gives qualifying partner trade better access under schedules and rules of origin. WTO law permits such regional exceptions through routes including GATT Article XXIV, GATS Article V and the Enabling Clause.

The answer line is: MFN compares foreign partners, national treatment compares foreign and domestic treatment after entry, and an FTA preference is a conditional exception. Coverage, likeness and legal status must still be checked.

utilisation productivity competition.

Native-body word count: 142 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish anti-dumping, countervailing and safeguard measures. Answer in 150 words.

Model answer:

Anti-dumping duty responds to export price below normal value when an investigation proves material injury and causation. Countervailing duty instead offsets a specific foreign subsidy that benefits imports and injures domestic industry. Safeguards require neither dumping nor subsidy: they address serious injury from increased, fairly traded imports.

WTO agreements and India's Customs Tariff Act keep these routes separate. DGTR investigates, government notifies duties, and CBIC collects them. Their evidentiary thresholds are: dumping margin for anti-dumping, subsidy and benefit for countervailing action, and import surge with serious injury for safeguards.

All are conditional remedies, not permanent protection. Product scope, period, causation, review and sunset matter; safeguards additionally provide adjustment space. Therefore low price alone proves none of the three, and one remedy's test cannot be borrowed to justify another.

Native-body word count: 143 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain why effective protection and tariff escalation matter for manufacturing strategy. Answer in 250 words.

Model answer:

A final-good tariff shows nominal protection, but firms compete on value added after paying for tradable inputs. Effective protection therefore measures the percentage change in domestic value added produced by the combined tariff structure. When an output receives a high tariff and its imported inputs face low duties, effective protection can exceed the nominal rate. When essential inputs are heavily taxed, the reverse can occur.

This distinction matters for manufacturing strategy. A tariff intended to support an upstream producer may raise the cost of steel, electronics, chemicals or machinery used by downstream exporters. The protected stage gains a margin while later stages lose price competitiveness, scale and participation in global value chains.

Tariff escalation creates a related international problem. If importing markets levy low duties on raw materials but higher duties on processed products, suppliers in developing economies face weaker incentives to move into

value-added exports.

Policy should therefore map input-output links and calculate protection on value added, not celebrate one headline rate. Temporary support may be justified for learning or strategic resilience, but it needs affordable inputs, competition, performance milestones and sunset review. The qualification is that technical coefficients, border prices, exemptions and product classification are required before estimating an effective rate.

utilisation productivity.

Native-body word count: 220 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess the WTO's relevance amid impaired appellate review and fragmented trade rules. Answer in 250 words.

Model answer:

The WTO remains the legal framework for goods, services, intellectual property, notifications, negotiations and dispute panels, but enforcement credibility is weakened. Its member-driven structure supplies common principles such as MFN, national treatment, tariff bindings and transparency. These rules give smaller economies a reference point against arbitrary bilateral pressure.

The institutional gap is serious. The WTO states that its Appellate Body cannot review appeals because of continuing vacancies; the last sitting member's term ended on 30 November 2020. Panels can still issue reports, yet an appeal into the non-functioning stage may delay binding resolution where parties lack an agreed alternative. The missed reform objective illustrates the difficulty of consensus.

Recent outcomes show both capacity and fragmentation. The Fisheries Subsidies Agreement entered into force on 15 September 2025, but further overcapacity disciplines remain under negotiation. At MC14, members failed to agree on e-commerce, and the WTO-wide moratorium lapsed on 30 March 2026; groups then pursued narrower commitments.

Reform should restore credible review, improve accessibility, discipline notification delays and permit transparent plurilateral progress without marginalising non-participants. India benefits from preserving policy space and development concerns, but also from enforceable rules for exporters. The WTO is therefore impaired, not irrelevant: multilateral legitimacy remains valuable, while unresolved consensus and enforcement problems require institutional repair.

Native-body word count: 224 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate India's contemporary FTA strategy using legal status and economic outcomes. Answer in 250 words.

Model answer:

India's FTA strategy is selective. After declining to join RCEP in November 2019, India brought UAE CEPA and Australia ECTA into force in 2022, EFTA TEPA in October 2025, Oman CEPA in June 2026 and UK CETA in July 2026. By the 9 September 2026 cutoff, India-EU negotiations had concluded, while the signed India-New Zealand FTA still awaited domestic procedures.

This portfolio can diversify markets, improve services access and attract investment. Preferences can also reduce imported-input costs and connect firms to regional value chains. Yet legal access is only the first stage. Exporters must meet product-specific origin rules, standards and documentation; small preference margins or high compliance costs can suppress utilisation.

Evaluation should therefore separate trade creation from diversion and headline commitments from realised additionality. Bilateral trade may rise because of growth, exchange rates or commodity prices rather than the agreement. A sound scorecard measures preference use, domestic value addition, services exports, investment delivery, jobs, productivity, consumer effects and adjustment losses.

India should combine negotiated access with customs facilitation, laboratories, logistics, trade finance, skills and consultation with affected sectors. Sensitive products can use calibrated schedules and lawful safeguards rather than permanent exclusion. The strategy succeeds when agreements create competitive capability and resilient diversification, not merely more tariff lines or political announcements.

utilisation productivity.

Native-body word count: 228 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: How should India respond to protectionism while remaining integrated with global value chains? Answer in 250 words.

Model answer:

Protectionism abroad transmits to India through weaker export demand, higher tariffs and standards costs, supply-chain relocation, retaliation, inflation and financial-market uncertainty. Currency movements can amplify these channels, but exchange-rate adjustment alone cannot create export capacity.

India needs a two-track response. Externally, it should defend multilateral rules, use consultations and trade remedies lawfully, diversify partners, and negotiate FTAs with usable origin rules and meaningful services access. The current mix of operative UAE, Australia, EFTA, Oman and UK agreements, alongside unfinished EU and New Zealand legal processes, shows selective engagement rather than withdrawal.

Domestically, competitiveness requires reliable power and logistics, efficient customs, quality infrastructure, affordable credit, skilled labour, technology and access to competitively priced inputs. RoDTEP can neutralise eligible embedded taxes, but remission cannot substitute for productivity. Targeted support for strategic or infant sectors should identify the market failure, demand additional investment and learning, preserve competition and expire after review.

Resilience should mean diversified suppliers, inventories for critical inputs, recycling and domestic capability, not indiscriminate autarky. High tariffs on intermediates can protect one producer while taxing downstream exports and consumers. Adjustment assistance for workers and regions makes openness politically sustainable. India should therefore combine predictable rules, capability building and time-bound safeguards, judging policy by value addition, exports, jobs, consumer welfare and reduced concentration risk.

utilisation productivity competition resilience inclusion.

Native-body word count: 232 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.